Credit memo: United Rentals, Inc.

Fiscal year ending 2025-12-31 · generated 2026-11-04T19:48:34Z · writer template

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Executive view

United Rentals, Inc. is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2025-12-31 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

Business and financial profile

Revenue was USD 16,099m, up 4.9% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 4,411m, a margin of 27.4%, against 29.3% a year earlier.[11–13] Gross debt stood at USD 14,229m and cash at USD 459m, for net debt of USD 13,770m.[14–16] Net debt was 3.12x EBITDA and EBITDA covered interest 6.27x.[17–18]

Credit strengths

Interest is comfortably covered at 6.27x EBITDA.[18]

Key risks

The current ratio of 0.94x is below one, so current liabilities exceed current assets.[19] Some inputs were derived or approximated (3 data warnings); see the evidence appendix.[20]

Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 1.8%, in the low screening band.[21–22] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[23–24] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[25–26] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Proposed facility and stress cases

After the facility, gross debt rises to USD 14,329m and net debt to EBITDA moves to 3.14x, with EBITDA cover of 6.22x.[27–29] In the downside case (EBITDA -20%, rates +200 bp) net leverage reaches 3.93x and cover falls to 4.96x.[30–32] In the severe case (EBITDA -35%, rates +400 bp) net leverage reaches 4.84x and cover 4.02x.[33–35] Against a maximum net leverage of 3.50x, headroom is 0.36x in the base case, but the downside breaches it by 0.43x.[36–38] Against a minimum EBITDA cover of 3.00x, headroom is 3.22x in the base case and 1.96x in the downside.[39–41] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

Credit considerations and diligence questions

Is a maximum net leverage covenant of 3.50x appropriate given the downside headroom?[36] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Evidence appendix

#	Item	Value	Source
1	Borrower	United Rentals, Inc.	SEC XBRL companyfacts

#	Item	Value	Source
2	Facility amount	USD 100m	Analyst input in the loan lab
3	Tenor	5-year	Analyst input in the loan lab
4	Structure	floating-rate bullet	Analyst input in the loan lab
5	All-in coupon	6.0%	Analyst input in the loan lab
6	Use of proceeds	capital expenditure	Analyst input in the loan lab
7	Fiscal year end	2025-12-31	SEC XBRL companyfacts
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (2025)	USD 16,099m	10-K XBRL Revenues, accession 0001067701-26-000007, filed 2026-01-28
10	Size of revenue change	4.9%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (2025)	USD 4,411m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (2025)	27.4%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (2024)	29.3%	Formula ebitda / revenue (v1.0.0)
14	Gross debt (2025)	USD 14,229m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
15	Cash and equivalents (2025)	USD 459m	10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001067701-26-000007, filed 2026-01-28
16	Net debt (2025)	USD 13,770m	Formula gross_debt - unrestricted_cash (v1.0.0)
17	Net debt / EBITDA (2025)	3.12x	Formula net_debt / ebitda (v1.0.0)
18	EBITDA / interest (2025)	6.27x	Formula ebitda / interest_expense (v1.0.0)
19	Current ratio (2025)	0.94x	Formula current_assets / current_liabilities (v1.0.0)
20	Data-quality warnings	3	Data-quality checks
21	Next-FY accounting-stress probability	1.8%	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
22	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
23	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
24	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
25	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
26	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
27	Base case gross debt	USD 14,329m	Loan engine v1.0.0, base case
28	Base case net debt / EBITDA	3.14x	Loan engine v1.0.0, base case
29	Base case EBITDA / interest	6.22x	Loan engine v1.0.0, base case
30	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.0.0, downside case
31	Downside case net debt / EBITDA	3.93x	Loan engine v1.0.0, downside case
32	Downside case EBITDA / interest	4.96x	Loan engine v1.0.0, downside case
33	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.0.0, severe case
34	Severe case net debt / EBITDA	4.84x	Loan engine v1.0.0, severe case
35	Severe case EBITDA / interest	4.02x	Loan engine v1.0.0, severe case
36	Covenant: maximum net leverage	3.50x	Analyst input in the loan lab

#	Item	Value	Source
37	Base case headroom (max net leverage)	0.36x	Loan engine v1.0.0, base case
38	Downside case covenant shortfall (max net leverage)	0.43x	Loan engine v1.0.0, downside case
39	Covenant: minimum EBITDA cover	3.00x	Analyst input in the loan lab
40	Base case headroom (min ebitda interest cover)	3.22x	Loan engine v1.0.0, base case
41	Downside case headroom (min ebitda interest cover)	1.96x	Loan engine v1.0.0, downside case

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